

FRANKLIN ELECTRIC CO INC FELE

August 30, 2026 - 9:37pm EST

by

Beantown Stonks

2026 2027

Price:	100.56	EPS	4.75	5.34
Shares Out. (in M):	45	P/E	21.2	18.8
Market Cap (in \$M):	4,495	P/FCF	22.6	19.8
Net Debt (in \$M):	210	EBIT	295	322
TEV (in \$M):	4,705	TEV/EBIT	15.9	14.6

Description

Franklin Electric (FELE) — Long

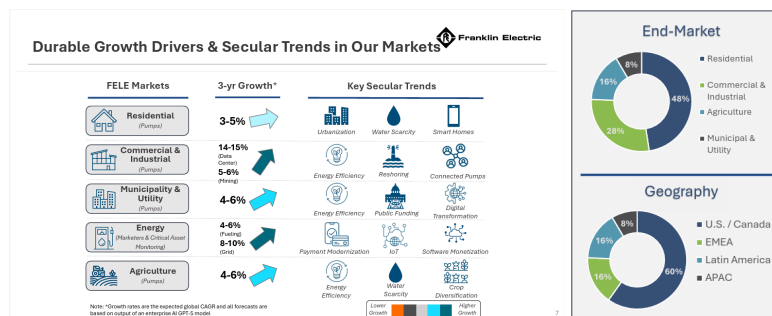
Summary

Franklin Electric is an under-the-radar industrial business, capable of steadily compounding per-share earnings at a LDD rate, but with optionality in several thematically appealing growth markets. The company makes and distributes pumps, with its core product being a submersible water pump with applications across a broad range of end-markets. At the current \$100 share price, the stock trades at 21.7x 2026 EPS guidance and 12.6x LTM EBITDA. This is a reasonable price to pay for a business capable of producing mid-teens ROIC, with a new management team focused on efficient growth and boosting shareholder returns after several years of share-price chop in the \$80-110 range. In my estimation, shares are undervalued today and my base case IRR through 2030 is 12%, with potential for ~20% in a bull case.

The key elements of my thesis include: (1) a relatively predictable stream of replacement-oriented revenue, (2) FELE's growing exposure to fast-growing end-markets such as critical minerals and data center cooling, (3) a fueling hardware business that benefits from a higher-margin forced replacement cycle, and (4) a sharper focus on capital allocation under a new management team which ties these elements together into an appealing go-forward IRR. An investor day in March 2027 will serve as a catalyst given the stock currently has just a handful of second-tier sell side research analysts covering it.

The Business

Founded in 1944, Franklin built the first water-lubricated submersible motor for water systems and the first submersible motor for fueling systems. Since then, the business has expanded into several end-markets, innovating its products to be increasingly technology-oriented.



Three reportable segments: Water Systems, Distribution, Energy Systems.

- Water Systems** sells submersible and surface pumps, motors, drives and controls into groundwater, industrial, dewatering, water treatment and greywater.
- Energy Systems** supplies the fuel industry with submersible pumps, piping, sumps, containment, vapor recovery, leak detection and electronic tank monitoring.
- Distribution** is a roll-up of wholly-owned groundwater distributors (the Headwater Companies) selling primarily to US water-well contractors.

FY2025	Revenue	Op. income	Margin
Water Systems	\$1,256mm	\$207mm	16.5%
Distribution	\$701mm	\$40mm	5.7%
Energy Systems	\$299mm	\$99mm	33.1%
Corporate & elims	(\$125mm)	(\$77mm)	
Total	\$2,131mm	\$270mm	12.7%

At a high-level, a low-teens operating margin doesn't compare favorably against industrial peers in the 20%-area, but backing out the low-margin distribution business gets Franklin on par with peers. Franklin is fairly capital light from a capex perspective and converts net income to FCF at ~100%, with fluctuations mainly around working capital.

Key Performance Drivers

- Predictable demand drivers in core Water Systems business:** Groundwater is 49% of the Water Systems segment and serves the residential water well and agriculture markets. The US private well base has been flat for decades as urbanization pushes residents on to municipal water systems and housing starts have been soft keeping growth muted. However, there is a predictable replacement cycle for existing systems based on the 10-15 year useful life of a system. In agriculture, demand can be cyclical, but increasing stress on irrigation systems related to climate change-driven drought instances over the long-term represents a positive factor as Franklin can offer higher-priced innovative systems. Outside of North America, there is some growth in the installed base in markets such as LatAm and APAC. On the commercial/industrial side there is continual emphasis on efficiency enhancements and Franklin is winning its fair share of business. Ultimately, management cites 75% of revenue as replacement-driven indicating a steady flow of business. Further, pump failures can be mission-critical emergency situations, which drives pricing power for Franklin and LSD-MSD price-driven organic growth in the core Water Systems business. Owning the distribution business ensures customers are served with ample availability and service when needed.

2. **Upside to growth in attractive end-markets:** Within Water Systems there are a few areas to call out where management is bullish: critical minerals mining, urbanization, and data center cooling. Demand for critical minerals is accelerating with electrification and the sector has been under-invested for several years. Franklin provides “dewatering” equipment which serves in both the operations of a mine and at the early stages of exploration. Global mining spend is currently increasing at HSD/LDD rates on average. As for urbanization, water infrastructure has been under-invested and there is a push from municipalities and utilities to upgrade equipment including enhancing pressurization where Franklin has leading products. And finally, while the data center end market is currently a small portion of revenue – condensation and general power monitoring – management is beginning to talk about opportunities in liquid cooling which is a rapidly growing market. Franklin has begun standing up a manufacturing capability in its Oklahoma facilities to meet the needs of this end-market.
3. **An underappreciated Energy Systems business:** Energy Systems is a high-margin part of the business that accounts for just 15% of revenue but 37% of operating profits. The bulk of this segment serves the fueling market (~80%), but there is also now a nicely growing “critical asset monitoring” business as well. The market leader in fueling hardware systems is Vontier, with its Veeder-Root brand holding a dominant market share. However, Veeder-Root is discontinuing spare parts support for legacy systems, offering Franklin the opportunity to win market share with its EVO One product. The product offers enhanced monitoring technology at a comparable price point to legacy systems and from Franklin’s perspective, there is a recurring and high-margin profile (~33% op margin) to this growth. Outside of fueling systems, critical asset monitoring is also a higher growth segment serving end-markets such as grid infrastructure, rail and telecom.
4. **Sharper focus on growth and capital allocation:** After several years of choppy revenue trends and associated share price performance, Franklin announced a leadership transition in mid-2024 with a new CEO Joe Ruzynski from nVent (prior to that at Pentair) and then followed in 2025 with a new CFO Jennifer Wolfenbarger from Owens Corning. The transition offers a fresh look at Franklin’s strategy and capital allocation. Looking at Ruzynski’s track record, you can see he grew nVent’s enclosures business effectively through value-added innovation and pricing as well as M&A. The company ended up pushing into the data center cooling market, a promising signal for Franklin’s own ambitions. The second element worth noting is that management’s long term incentive compensation plan KPIs have shifted from EBITDA growth to a mix of TSR and ROIC. Whereas there has historically been a focus on M&A for growth and the balance sheet has been managed very conservatively (~0.5x net debt/EBITDA), this new framework signals a greater emphasis on efficient investments in profitable growth alongside maximizing shareholder value. This should manifest in more aggressive share buybacks where M&A is not accretive and bringing leverage in line with peers (1.0-1.5x) to maximize returns to shareholders.

Financial Profile & Valuation

The resulting financial picture is a MSD revenue growth rate, with modest operating leverage to grow earnings HSD, and capital allocation that pushes per share earnings growth into double digits for the next 3-5 years.

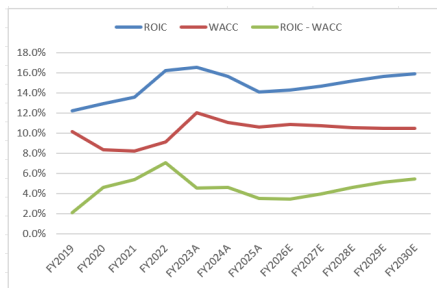
- **Revenue build:** The Water Systems segment has a diverse set of end markets with variable growth rates, but should average to about 4% organic growth driven by modest volume growth and pricing in line with inflation plus greater mix of value-added products. Franklin has also been a consistent acquirer, and I estimate they can add ~2pts to the Water Systems growth rate via tack on M&A bringing the total segment growth rate to 5-6%. In Energy Systems, the dynamics I’ve detailed above create an attractive setup for ~4% growth at the segment level, mostly organic driven by share gains. And lastly, the distribution segment will have a slower organic growth rate, in line with the groundwater business, but also benefits from tack on M&A of smaller distributors bringing segment growth to ~5%. Altogether my numbers get me to \$2.8bn of revenue in FY2030.

	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
REVENUE BUILD						
Water Systems	\$1,256	\$1,340	\$1,425	\$1,515	\$1,608	\$1,706
segment growth y/y	6.1%	6.7%	6.3%	6.3%	6.2%	6.1%
Energy Systems	\$299	\$312	\$325	\$338	\$350	\$363
segment growth y/y	9.2%	4.3%	4.1%	4.0%	3.7%	3.5%
Distribution (Headwater Companies)	\$701	\$732	\$771	\$812	\$855	\$900
segment growth y/y	2.2%	4.5%	5.3%	5.3%	5.3%	5.3%
Gross segment sales	\$2,256	\$2,384	\$2,521	\$2,664	\$2,813	\$2,969
Intersegment eliminations	(\$125)	(\$132)	(\$139)	(\$147)	(\$156)	(\$164)
Total net sales	\$2,131	\$2,252	\$2,381	\$2,517	\$2,658	\$2,805
growth y/y	5.4%	5.7%	5.7%	5.7%	5.6%	5.5%
memo: organic contribution	3.0%	3.2%	4.0%	3.9%	3.8%	3.8%

- **Margins & Cash Flow:** I assume only modest gross margin expansion to ~36% over the forecast period and some SG&A leverage pushing Franklin’s adjusted operating margin from ~13% to ~15% with incremental margins in the 20% area. My FY2030 consolidated operating margin of 14.8% plus ~3pts of D&A brings EBITDA margins from 15.6% to 17.7% over the forecast period or \$500mm of EBITDA in FY2030. While capex is modest, Franklin must maintain significant working capital. Franklin should be able to convert ~100% of earnings to FCF, or FCF/EBITDA conversion of ~60% - on par with industrial peers. This implies ~\$1.2bn of FCF generation over the forecast period.

BASE CASE FORECASTS						
	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	\$2,131	\$2,252	\$2,381	\$2,517	\$2,658	\$2,805
y/y	5.4%	5.7%	5.7%	5.7%	5.6%	5.5%
EBITDA, adj.	\$333	\$363	\$394	\$426	\$461	\$498
margin	15.6%	16.1%	16.5%	16.9%	17.3%	17.7%
Free cash flow	\$194	\$199	\$226	\$244	\$262	\$289
Adjusted diluted EPS	\$4.14	\$4.75	\$5.34	\$5.98	\$6.63	\$7.33
P / E	24.3x	21.2x	18.8x	16.8x	15.2x	13.7x
EV / EBITDA (on current EV)	14.1x	13.0x	12.0x	11.0x	10.2x	9.5x
FCF yield on market cap		4.4%	5.0%	5.4%	5.8%	6.4%

- **Capital allocation:** ROIC at 15% is solid for an industrial business and covers Franklin’s ~11% cost of capital, but I see scope to increase capital deployment. Beyond the \$1.2bn of FCF capacity in FY2026-2030, if FELE brings leverage up to just 1.25x it would free up an incremental ~\$500mm for investment over the same period. Recent capital allocation has been balanced between M&A (~45% of FCF) and shareholder rewards (~55%) via dividends and buybacks – roughly evenly split. Returns on M&A have been acceptable, acquiring industrial businesses at ~2.0x sales and distribution businesses at ~1.0x implying 10-13x EV/EBITDA – modestly accretive. As competition for deals increases over time I expect Franklin will turn increasingly to share buybacks. The increased leverage in the capital structure and retirement of shares can drive cost of capital down incrementally and I see ROIC increasing to ~16% enhancing the value creation opportunity over time for further compounding.



I am valuing Franklin at a constant 13x EV/EBITDA multiple, where it currently trades. This is despite peers trading in the 14-16x range which I think is also a reasonable level for FELE. My estimates imply a share price of \$150 in 4-5 years, or a ~12% IRR. A 20x P/E ratio yields a similar result based on my EPS and FCFPS estimates. I view this as an attractive return profile despite the seemingly fair entry price and would certainly be a buyer on pull-backs given the predictability of the growth profile and flexibility to use the balance sheet.

	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
EBITDA, adj estimate	\$363	>>> growth & margin expansion >>>			\$498
(x) EV/EBITDA	13.0x	>>> constant multiple >>>			13.0x
Enterprise Value	\$4,705				\$6,469
(-) net debt	\$210	>>> leverage to 1.2x EBITDA >>>			\$611
Equity Value	\$4,495				\$5,858
Shares	44.7	>>> buybacks >>>			38.8
Share price	\$100.56				\$151.14
(+) Dividend per share	\$1.18	\$1.30	\$1.45	\$1.65	\$1.80
Total return per share	(\$99.38)	\$1.30	\$1.45	\$1.65	\$152.94
IRR					12.4%

As mentioned, I also see attractive optionality in a bull case where Franklin is spec'd for data center CDUs, earnings accelerate, and the market assigns a more premium multiple to the business. Based on my analysis of the CDU market and Franklin's product portfolio, it is conceivable that the company can layer on an additional \$200mm+ of revenue and \$50mm of annual EBITDA by 2030, which at a 15x multiple (pure data center plays can trade at 20x+), implies a share price of closer to \$200 in 2030 or a 20% IRR. There are other end-markets that could also inflect higher than my current estimates. Unlocking this growth is the key to significant outperformance and management is incentivized to pursue it.

Risks to the thesis

- Economic downturn or cyclicity in any given end-market could soften demand for Franklin's products
- Competition limits Franklin's ability to drive price and cover inflationary impacts of supply chain, resulting in slower growth and lower margins than the base case
- Franklin could overpay for acquisitions and experience cost-creep or execution issues on deals
- Data center opportunity is a flop and management commits capital to an unprofitable venture

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

Catalysts

- Incremental details on liquid cooling opportunity – management noted they would provide more color in 2H26. This could generate buzz around the company leading to increased growth estimates and multiple expansion.
- March 2027 investor day – this will be the first under the new management team and I expect them to lay out long-term targets. I see a \$500mm EBITDA target for 2030 as a nice round number that could excite the market.
- Increased coverage – each of these catalysts alongside continual growth can generate buzz around the company and increase coverage from just 5 sell side analysts today (2 buys / 3 holds).

Messages

No messages